VOL. 1

PALANTIR x FCA / AI-AUGMENTED SUPERVISION SERIES

CONSEQUENCES

What AI-Augmented Regulatory Supervision
Means for Small Payment Service Providers

FROM THE POSITION OF A UK FCA-REGULATED PSP
HIGH-RISK MERCHANT ACQUIRING · LIMITED COMPLIANCE RESOURCES

STRATEGIC BRIEF March 2026

£30K+/wk	42,000	546
Palantir Contract Value	Regulated Firms in Scope	AML Assessments 2024/25

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STRUCTURE OF VOLUME 1

1 EXECUTIVE SUMMARY

KEY FINDINGS AND DECISION-MAKING CONTEXT

On 22 March 2026, the FCA confirmed it had awarded Palantir Technologies a three-month trial contract worth over £30,000 per week to deploy the Foundry platform across the regulator's internal intelligence data lake. This is the most significant outsourcing of supervisory analytics by a UK financial regulator to an external technology contractor in the history of British financial oversight.

For a small FCA-regulated PSP engaged in high-risk merchant acquiring with limited staff and budget, this event creates a qualitative shift in the regulatory risk landscape. This volume analyses the confirmed facts, the realistic capabilities and limits of AI-driven supervision, and formulates a concrete strategy for action.

THE CRITICAL SHIFT

AI-augmented supervision transforms the regulatory surface from discrete points of contact into a continuously observable space. Gaps invisible under traditional supervision become detectable through cross-referencing of data sources across the FCA's entire intelligence lake.

THE KEY ASYMMETRY

The algorithm does not distinguish between intentional non-compliance and resource-constrained gaps. A pattern of deviation from baseline triggers investigation regardless of the firm's intent. The distinction is made by humans — but only after the investigation has already begun.

THE RATIONAL STRATEGY

Proactive self-assessment with documented remediation is the only economically justifiable approach. The cost of a structured gap analysis is orders of magnitude lower than a Section 166 skilled person review (£100K–500K+).

FCA enforcement context 2024/25: **546** AML assessments (up 25% YoY), **83** Section 166 skilled person reviews (more than doubled in two years), **1,516** cancelled authorisations (up 121% over three years), **£180.1M** in penalties (up 500%+). Palantir Foundry is being layered on top of an already aggressively active supervisory machine.

2 THE PALANTIR-FCA CONTRACT

CONFIRMED FACTS, DATA SCOPE, AND LEGAL FRAMEWORK

Prior to March 2026, no contractual relationship between Palantir and the FCA existed. The engagement is entirely new. The Guardian broke the story on 22 March 2026, and the FCA confirmed it the following day. The 12-week contract deploys **Palantir Foundry** — the company's data integration and analytics platform built around an Ontology layer that maps real-world entities (firms, individuals, transactions, complaints) into a unified, traversable data model.

Legal Framework

› Palantir operates as a **data processor** only, not a data controller — the FCA retains exclusive control

› The FCA holds all encryption keys; all data is hosted and stored solely in the United Kingdom

› Palantir must destroy all data upon contract termination

› Intellectual property derived from the analysis belongs to the FCA

› Palantir cannot copy data to train its own commercial products

Data Scope

Multiple sources, including FCA insiders quoted by The Guardian, indicate the trial covers "all FCA datasets" — a phrase that insiders say encompasses:

◆ Highly sensitive case intelligence files and information on "problem firms"

◆ Reports from lenders about proven and suspected fraud, including Suspicious Activity Reports (SARs)

◆ Consumer complaints forwarded from the Financial Ombudsman Service

◆ Internal investigation data, emails, and call recordings

◆ Social media monitoring data

◆ Approximately two years of internal intelligence across ~42,000 regulated firms

EXCLUSION

The FCA has clarified that the trial will not include trading records of banks, hedge funds, or pension funds — though insiders suggest some trading records may be included where they relate to suspected wrongdoing.

The "Land and Expand" Pattern

The contract fits within Palantir's well-documented expansion strategy across UK public services. The company already holds NHS contracts worth £330M and Ministry of Defence contracts worth £421M, with total UK public sector engagement exceeding £500M. The political reaction was immediate: the Liberal Democrats demanded a government investigation, and the Green Party called for the contract to be blocked.

3 THE EXISTING DATA MACHINE

WHAT THE FCA ALREADY SEES BEFORE PALANTIR

The Palantir contract does not emerge in a vacuum. The FCA has been building a data-driven supervisory apparatus since its 2020 Data Strategy, and the infrastructure Foundry will plug into is already substantial.

RegData and REP-CRIM

The **RegData** platform (which replaced the legacy Gabriel system) collects over **500,000 regulatory records per year** from 52,000 firms. PSPs must submit annual financial returns, semi-annual fraud statistics (for authorised PIs/EMIs), interface performance data, and SCA-RTS exemption data.

The **REP-CRIM** annual financial crime return — expanded in March 2022 to cover approximately **7,000 firms** (up from 2,500) — collects granular data on SAR filing volumes, PEP relationships, sanctions screening arrangements, customer exits for financial crime reasons, staff deployed in financial crime roles, and amounts spent on financial crime prevention. The FCA uses this data to "accurately risk-rate firms and better target specialist resources on firms that pose the highest financial crime risk."

FCA Analytical Tools

Single View

Aggregates key data and risk indicators for each firm into a consolidated dashboard. Reportedly halves the time required for low-risk case assessments.

Advanced Analytics Unit

Runs web scraping across approximately 100,000 websites daily to identify potential scam domains.

Synthetic Data Tool

A sanctions screening test tool that has "revealed significant weaknesses in some firms' controls" by testing whether screening systems actually catch sanctioned entities.

Data Science Units

75+ data scientists embedded across the organisation. Market abuse assessment time cut from three days to a few hours using advanced analytics.

> *"We will use data to target the firms that are more susceptible to receiving the proceeds of fraud."*

— Matthew Long, Director of Payments and Digital Assets, FCA | Payments Portfolio Letter, February 2025

The FCA's 2025/26 Annual Work Programme explicitly promises "network analytics to identify harmful networks of firms and/or individuals." When Palantir Foundry is layered onto this existing infrastructure, the cross-referencing capability expands dramatically.

4 EXPANSION OF REGULATORY SURFACE

FIVE DIMENSIONS OF SUPERVISORY VISIBILITY

The concept of **regulatory surface area** describes the total scope of a regulated firm's operations that is visible to the regulator. AI-augmented supervision expands this surface across five dimensions, each of which materially increases risk for a small PSP with compliance gaps.

PERIODIC → CONTINUOUS

Traditional supervision was episodic — annual reviews, periodic examinations, scheduled returns. AI enables continuous monitoring. Issues that once took years to surface through routine supervisory cycles can now be detected within weeks. A pattern of suspicious merchant onboarding or an anomalous drop in SAR filings relative to transaction volumes could trigger investigation almost immediately.

SAMPLE-BASED → COMPREHENSIVE

Rather than reviewing samples of transactions or compliance files, AI processes entire datasets. Palantir Foundry's Ontology layer enables traversal of relationships between entities across the full data lake — linking a PSP's regulatory returns to its SARs, complaints data, Companies House records, and adverse media simultaneously.

SILOED → CROSS-REFERENCED

Previously, a PSP's RegData returns, REP-CRIM submissions, consumer complaints, SARs filed (or not filed), and corporate registry data existed in separate systems. Foundry collapses these silos. The BeAccount Ltd case (December 2025) is instructive: the FCA found red flags via simple Companies House searches that the firm's automated screening had missed entirely because it checked data sources in isolation.

STRUCTURED → UNSTRUCTURED

Natural language processing allows regulators to analyse emails, call recordings, social media posts, free-text complaint narratives, and policy documents. The FCA's Palantir contract explicitly includes access to emails and call recordings from investigations.

THE COMPOUNDING EFFECT

Each individual compliance gap may appear minor in isolation. But AI's ability to aggregate and correlate gaps across data sources creates a composite risk picture that is far more revealing than any single deficiency. An outdated AML policy + low SAR filing rate + high-risk MCC concentration + minimal financial crime spend = an unmistakable signal.

5 DETECTION CAPABILITIES & LIMITS

WHAT AI CAN AND CANNOT FIND

Understanding the realistic capabilities and limitations of Palantir-type analytics is essential for calibrating risk. The following assessment is based on confirmed SupTech deployments globally and Foundry's documented architecture.

High Detection Probability

- **Reporting inconsistencies** — mismatches between RegData returns and actual activity, between REP-CRIM submissions and transaction data, or between reported and actual volumes. SupTech systems automate data validation across receipt, completeness, correctness, plausibility, and cross-entity consistency.
- **Transaction monitoring gaps** — AI anomaly detection identifies unusual transaction flows, velocity changes, geographic patterns, and structural features that deviate from behavioural baselines. A PSP filing significantly fewer SARs than comparable firms with similar risk profiles will trigger an anomaly flag.
- **AML/CFT weaknesses** — AI cross-references customer data from multiple sources. If a firm's CDD files are incomplete while its transaction patterns indicate high-risk activity, the gap between risk profile and due diligence effort is exposed automatically.

Moderate Detection Probability

Unusual merchant onboarding patterns — clusters of merchants with shared addresses, related beneficial owners, or rapid sequential onboarding — and anomalous transaction flows through acquiring networks (refund ratios inconsistent with merchant categories, transaction laundering indicators). Network analysis capabilities increasingly allow identification of related parties across acquiring networks.

Known Limitations

FALSE POSITIVES

Traditional AML systems produce false positive rates of 90–95%. While AI can reduce these substantially, residual false positives remain a significant challenge for both regulators and supervised firms.

INTENT VS. PATTERN

AI cannot distinguish intent. A firm that has not filed SARs because it lacks compliance resources looks identical to the algorithm as a firm deliberately suppressing SARs. The distinction is made by human reviewers at the investigation stage — but by then, the investigation has already begun.

SMALL FIRM DATA SPARSITY

AI models trained primarily on large-institution data may not translate well to small PSPs with lower transaction volumes and different risk profiles. This can generate both false positives and false negatives.

THE BLACK BOX PROBLEM

Complex models may struggle to provide the explainability required for regulators to justify supervisory decisions under administrative law. This constrains how far AI-only detection can drive formal enforcement action.

6 GLOBAL SUPTECH LANDSCAPE

DIRECTION OF TRAVEL ACROSS WORLD REGULATORS

The FCA's trajectory is not an outlier. According to the Cambridge SupTech Lab's 2025 report, **197 financial authorities across 140 countries** have deployed at least one SupTech solution — a **3.6x increase** from 54 authorities in 2022. The trend is unambiguous and accelerating.

ECB Single Supervisory Mechanism

The most advanced publicly named SupTech toolkit globally. **Agora** provides a unified data lake with natural language querying. **Heimdall** automates fit-and-proper assessments. **Medusa** handles report drafting and consistency checks. **Athena** uses NLP for IT and cyber risk identification. Approximately 3,000 supervisors trained in data science through partnerships with Coursera and INSEAD.

Other Jurisdictions

- **SEC (United States)** — Cyber and Emerging Technologies Unit (February 2025), AI Task Force (August 2025)
- **MAS (Singapore)** — AI Risk Management Guidelines consultation (November 2025) with explicit proportionality tiers for high- vs. low-materiality AI systems
- **BIS Innovation Hub** — Projects Aurora (cross-institutional AML detection), AISE (generative AI for supervisory workflows), Ellipse (SupTech/RegTech applications)

> **KEY OBSERVATION**
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> No financial regulator globally has yet publicly attributed an enforcement action to AI-driven detection in the payments sector. Regulators typically do not disclose analytical methods behind enforcement, framing AI as enhancing human judgment. However, the infrastructure for AI-triggered enforcement is clearly being assembled. FCA 2024/25: £180.1M in penalties, 83 of 188 open enforcement operations related to financial crime — precisely the area where Palantir Foundry will be deployed.

Recent Enforcement Precedents

Notable recent actions in the payments space include the **CB Payments Limited** (Coinbase) fine of £3.5M in July 2024 — the FCA's first fine under the Electronic Money Regulations — for onboarding 13,416 high-risk customers despite voluntary restrictions. The **Guavapay Limited** case (January 2026) resulted in compulsory liquidation of a small EMI. **BeAccount Ltd** (December 2025) received immediate restrictions after the FCA found its automated screening produced incomplete reports with no manual follow-up.

7 THE PROPORTIONALITY PROBLEM

STRUCTURAL DISADVANTAGE FOR SMALL PSPs

The FCA's 2025–2030 strategy explicitly commits to being "predictable, purposeful and proportionate," with "less intensive supervision for those demonstrably seeking to do the right thing." Approximately 36,000 firms already benefit from lighter reporting obligations.

However, **proportionality applies to supervisory intensity, not to compliance standards**. The FCA has not reduced its expectations for the adequacy of systems and controls regardless of firm size. Resource constraints are not accepted as an excuse for regulatory non-compliance. This creates a structural tension that disproportionately affects smaller firms.

The Incoming Regulatory Pipeline

SM&CR; Extension

Extension of the Senior Managers & Certification Regime to payment and e-money institutions is under active consideration as part of the PSR/EMR review under the Smarter Regulatory Framework.

PSR Consolidation into the FCA

Expected by end of 2026. This will create a single supervisory entity with unified data across both payments regulation and payment systems regulation — eliminating any remaining data silos.

Safeguarding Supplementary Regime

New compliance deadline: 7 May 2026. Requires daily reconciliations, monthly regulatory returns, and annual audits. A significant operational burden for resource-constrained firms.

Section 166 Surge

83 skilled person reviews in 2024/25, up from 37 two years prior. These reviews are funded by the firm itself and can cost £100K–500K+ — a potentially existential sum for a small PSP.

The cost of maintaining enterprise-grade compliance — robust AML transaction monitoring, comprehensive sanctions screening, ongoing merchant due diligence for high-risk acquiring, documented policies across SYSC requirements, Consumer Duty evidence packs, operational resilience frameworks, and safeguarding daily reconciliation — falls disproportionately on smaller firms. SaaS-based RegTech tools have partially democratised access, with subscription models potentially reducing compliance costs by up to 50%, but a small PSP still faces an asymmetric challenge.

8 ACTION FRAMEWORK

WHAT A SMALL PSP SHOULD DO RIGHT NOW

The most cost-effective defence against AI-augmented supervision is **proactive self-assessment and documented remediation** before the regulator identifies gaps. The following framework prioritises actions by enforcement risk and harm potential.

Immediate Priorities (0–3 Months)

- Board-level formal discussion of the February 2025 Dear CEO Letter — explicitly expected by the FCA
- Structured compliance gap analysis against the FCA's three priority outcomes (competition/innovation, financial system integrity, customer money safety)
- Ensure UK mind and management — senior decision-makers must demonstrably be UK-based
- Review and stress-test sanctions screening systems against the FCA's synthetic data methodology
- Assess money mule detection controls across the acquiring portfolio
- Ensure APP fraud reimbursement processes are functional and documented
- Begin safeguarding gap analysis against the new Supplementary Regime (May 2026 deadline)

High-Risk Merchant Acquiring Controls

- Documented merchant risk appetite framework with clear parameters for acceptable and unacceptable merchant categories
- Tiered merchant due diligence (enhanced for high-risk MCCs: gambling, adult content, forex, CBD, nutraceuticals)
- Ongoing merchant monitoring programme tracking transaction patterns, chargeback ratios, and website compliance
- Documented merchant termination triggers for compliance breaches
- Alignment with Visa/Mastercard compliance programmes (VFMP, MATCH list monitoring)

> **CRITICAL**
>
> Controls must not only exist but be **demonstrably operational** — documented, tested, and evidenced. In a world of AI-driven supervision, the gap between "we do this" and "here is the evidence" becomes the primary vulnerability.

Medium-Term Actions (3–6 Months)

- Formal agent and distributor oversight frameworks with documented supervisory procedures
- Documented outsourcing arrangements covering all material third-party dependencies
- Create or update wind-down plans with realistic scenario modelling
- Compliance monitoring plan with regular testing and documented outcomes
- Prepare for SM&CR; extension: identify Senior Managers, draft statements of responsibilities, create a responsibilities map, implement fitness and propriety assessments

RegTech Tools Accessible to Small Firms

- **AML/Sanctions Screening**: ComplyAdvantage, Sanctions.io, WorkFusion — subscription-based models that can potentially reduce compliance costs by up to 50%
- **Compliance Management**: Sigma Infosolutions, NayaOne — regulatory requirement integration and evidence management
- **Regulatory Change Management**: Compliance.ai, Cube — automated tracking of regulatory changes and impact assessment

Starting with AML and sanctions screening — the area most likely to be tested by the FCA — is the highest-value investment for a resource-constrained firm. Cloud-native, API-first tools allow modular adoption without wholesale system replacement.

CONCLUSION

The FCA's Palantir trial is not a singular event but the visible manifestation of a multi-year strategic transformation from episodic, reactive supervision to continuous, data-driven, AI-augmented oversight.

The regulatory surface area is expanding rapidly across every dimension: temporal (continuous vs. periodic), analytical (comprehensive vs. sampled), structural (cross-referenced vs. siloed), and qualitative (unstructured data now included).

THE DETECTION ASYMMETRY HAS SHIFTED PERMANENTLY

Compliance gaps that would have gone unnoticed in a traditional supervisory model will increasingly surface through automated anomaly detection and peer benchmarking. The window of benign invisibility is closing.

AI DOES NOT DISTINGUISH INTENT FROM INCAPACITY

The algorithm flags the pattern; humans assess intent later. But by that point, the investigation has already begun, the firm is already on the radar, and the cost of response is already being incurred.

PROACTIVE REMEDIATION IS THE ONLY RATIONAL STRATEGY

A structured gap analysis followed by documented fixes is orders of magnitude cheaper than a Section 166 review and dramatically reduces enforcement risk. The firms that will navigate this landscape most successfully are those that treat the expanding regulatory surface area not as a threat to be managed but as an operating reality to be designed for.

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